GED 211

Financial Environments

Investment & Finance

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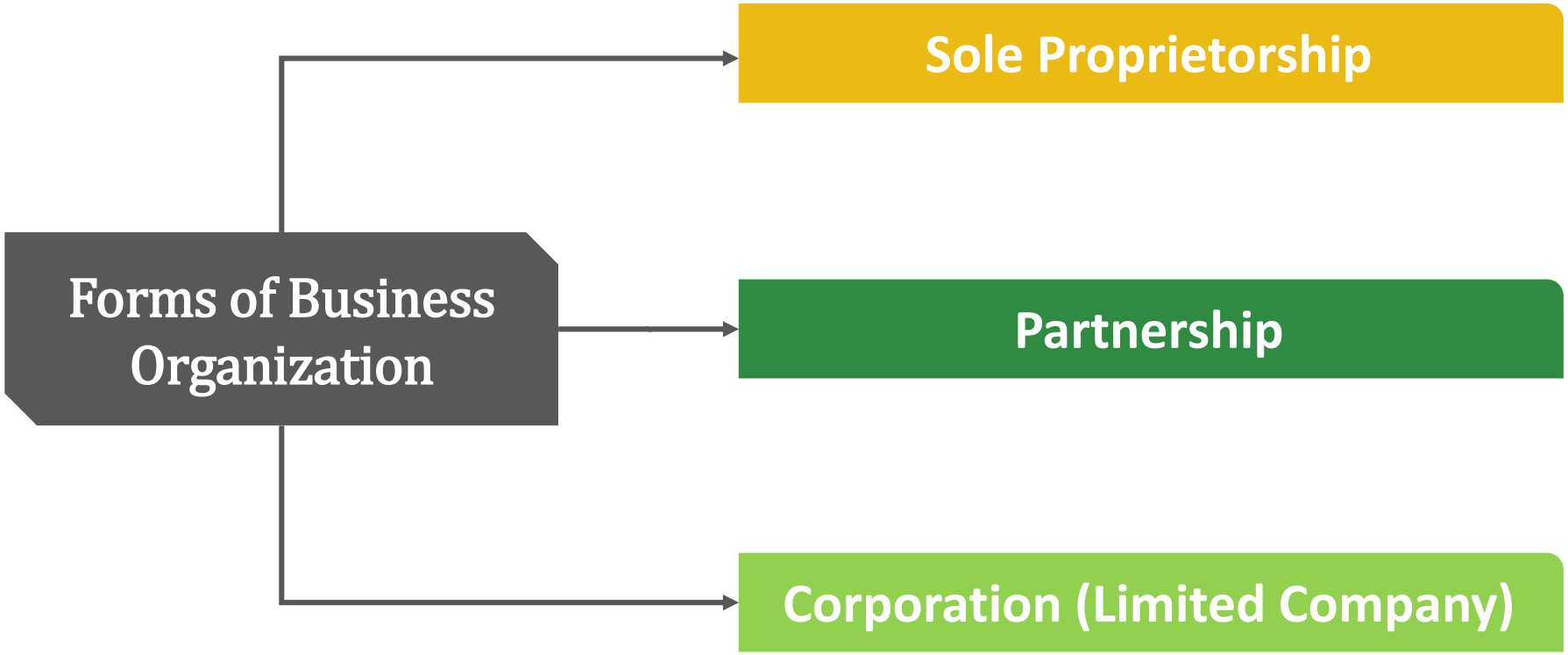
Forms of Business Organizations:

Sole Proprietorship, Partnership, Corporation

Forms of Business Organizations: Overview



Sole Proprietorship

A business owned and managed by one person.

- A local Grocery Store

Advantages

- Simple to form and dissolve
- **Full control and flexibility**
- Owner keeps all profits

Disadvantages

- **Unlimited liability —**
  - **owner is personally responsible for all debts**
- Limited access to capital
- Business continuity depends on owner's life

Partnership

A business owned by two or more people who share profits, losses, and responsibilities

- **Governed by a partnership agreement**
- Partners contribute money, skills, or both
- Can be general or limited partner
  - **General partners** manage and have unlimited liability
  - **Limited partners** invest but have liability limited to their investment

Advantages

- More capital than sole proprietorship
- Shared decision-making and workload
- Simple to establish legally

Disadvantages

- **Unlimited liability (for general partners)**
- Potential conflicts among partners
- **Dissolves if a partner leaves or dies**

Corporation (Limited Company)

A separate legal entity created by law,

- Owned by shareholders and managed by a board of directors
- Can own property, enter contracts, and be sued in its own name

Advantages

- Shareholders have **limited liability** — If the business can not pay its loans, shareholders are not held liable
- Can raise large amounts of capital
- Perpetual existence — not affected by ownership change

Disadvantages

- **More regulations and formalities**
- **Double taxation** (corporate tax + shareholder tax on dividends)
- Complex and costly to establish

Forms of Business Organizations: Comparison

Feature	Sole Proprietorship	Partnership	Corporation
Ownership	One person	Two or more	Shareholders
Liability	Unlimited	Unlimited (for general partners)	Limited
Capital	Limited	Moderate	High potential
Continuity	Ends with owner	Ends with partner exit/death	Perpetual
Decision-making	Full control	Shared	Board of Directors
Taxation	Personal income tax	Personal income tax	Corporate + dividend tax

Major Types of Taxes:

Tax & VAT

Major Types of Taxes: Overview

Major Types of Taxes

- Income Tax
- Corporate Tax
- Capital Gain Tax
- Sales Tax
- Value Added Tax (VAT)
- Import Duties (Customs Duty)

Major Types of Taxes: Overview

Income Tax

Tax charged on an individual's personal income — salary, bonuses, interest, rent, etc.

- Paid by individuals or households
- Usually progressive → Higher income = Higher tax rate

Major Types of Taxes: Overview

Corporate Tax

Tax on the profits earned by companies or corporations

- Applied to net profit
- Different rates for different sectors (e.g., banks, telecoms, manufacturing)
- Affects corporate investment decisions and dividend payouts

Say, Beximco earned a revenue of 150MN, with operating expenses of 80MN and Non-operating Expenses of 20MN. If corporate tax rate is 20%, what is their total corporate tax

$$\boldsymbol{Profit\ Before\ Tax} = (Revenue\ - Operating\ Expenses\ - Non\ operating\ Expense)$$

$$\boldsymbol{Profit\ Before\ Tax} = (150\ - 80\ - 20) = \boldsymbol{50MN}$$

$$\boldsymbol{Corporate\ Tax} = (Profit\ Before\ Tax\ * Tax\ Rate) = (50 * 20\%) = \boldsymbol{10MN}$$

Major Types of Taxes: Overview

Capital Gains Tax

Tax on the profit earned from selling an asset (like shares, land, or property)

- Capital Gain = (Selling Price – Purchase Price)
- Capital Gain Tax = [(Selling Price – Purchase Price)* CG Tax Rate]

You purchased shares of Beximco for 90 taka and sold them for 130 taka. If Capital Gain Tax Rate is 10%, what is your Total Capital Gain Tax

Capital Gain Tax = [(Selling Price – Purchase Price)* CG Tax Rate]

Capital Gain Tax = [(130 – 90)* 10%] = (40*10%) = **4TK**

Major Types of Taxes: Overview

Sales Tax

Tax on the sale of goods and services

- Usually a percentage of the selling price

Say, Beximco earned a revenue of 150MN. If the sales tax rate is 0.60%, what would be their total sales tax

Sales Tax = (Revenue * Sales Tax Rate)

Sales Tax = (150 * 0.60%] = (40*10%) = **0.90MN**

Major Types of Taxes: Overview

Value Added Tax

Tax on the value added at each stage of production and distribution

- Applied at every stage — manufacturer, wholesaler, retailer —but only on the value added, not total price

Say, Beximco earned a revenue of 150MN. If the VAT is 15%, what would be the total VAT

VAT = (Revenue * VAT Rate)

VAT = (150 * 15%) = **22.50MN**

Major Types of Taxes: Overview

Import Duties (Customs Duty)

Tax imposed on goods imported from other countries

- Usually a percentage of the import value
- Protects domestic industries from foreign competition
- Discourages import
- Affects international trade and local market prices

Say, Beximco has imported two types of raw materials. They imported Type A raw material worth 50MN which has a Import Duty of 5% and Type B raw materials worth 30MN which has a import duty of 20%

Import Duty = (50 * 5%) + (30*20%) = (2.50 + 6) = **8.50MN**

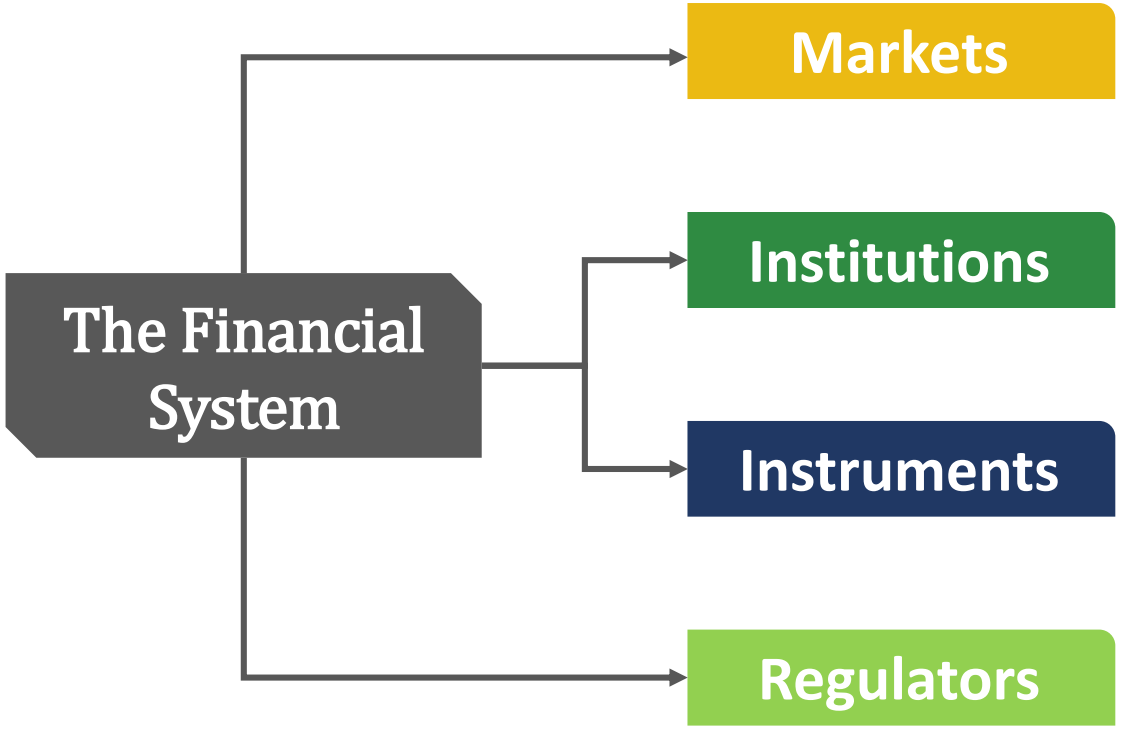
The Financial System:

The Network That Connects it All

The Financial System: The Network That Connects it All

The Financial System is the network of

- **Institutions, Markets, Instruments, and Regulations**
- **That facilitate the flow of funds** →From Savers (surplus units) to Borrowers (deficit units)



Financial Markets:

Where The Trade Takes Place

Financial Markets: Where The Trade Takes Place

The Financial System → Markets → **Platform for the buying & selling of Financial Assets (Securities)**

- **Maturity Structure:** Money Market & Capital Markets
- **Trading Structure of its Securities:** Primary & Secondary Markets
- **Nature of Platform:** Exchanges & OTC Markets

Financial Markets: Types

Maturity Structure: Money Market vs Capital Market

	Money Market	Capital Market
Tenure/Term	Facilitates the flow of **short-term** funds (shorter than or **up to 1Y**)	facilitates the flow of **long-term** funds (**longer than 1Y**)
Instrument Type	Instruments can **only** be issued as **debt**	**Debt, equity or hybrid form**
Issuer Credentials	Normally, only issuers with **high credentials**	Issuers with **range of credentials**
Trading Structure	**Primary Market** Focused	More focused on **secondary market**
Return	Normally provides **lower return**	Normally provides **higher return**
Purpose	Meet **liquidity needs**	**Long Term Investment Needs**

Trading Structure: Primary Market vs Secondary Market

Securities Float

- **Primary Market:** Facilitates the issue of new securities
- **Secondary Market:** Facilitates the trading of previously issued securities

Fund Flow

- **Primary Market:** Funds flow from investors to issuers
- **Secondary Market:** Issuer is unaffected, provides liquidity for investors

Financial Institutions:

The Key Players

Financial Institutions: The Key Players

The Financial System → Institutions → Connects The Investors to The Issuers/Borrowers & Helps Reduce Limitations Caused by Market Imperfections

- **Depository Institutions:**
  - Accepts deposits and provide loans
  - Commercial Banks, Savings institutions, Credit Unions
- **Non-Depository Institutions:**
  - Does not accept deposit, provides other services that connect investors with issuers
  - Finance Companies, Mutual Funds, Securities Firms, Insurance Companies, Pension Funds

Financial Institutions: Depository Institutions

Commercial Banks

- The **most dominant** type of depository institute
- Offers a wide variety of **deposit types customized to serve various needs**
- Provides direct loans or invests through purchase of issued securities

Savings Institutions

- Sometimes referred to as thrift institutions → Savings and Loan Associations (S&Ls) and Savings Banks
- Can be owned by shareholders, but **often owned by the depositors**
- **Concentrate on residential mortgage loans**, which is usually perceived to pose lower risk

Credit Unions

Differ from commercial banks and savings institutions in that they

- Are **nonprofit** enterprises
- Limits their business primarily towards **serving/lending to the members**

Financial Institutions: Non-Depository Institutions

Mutual Funds (Asset Management Companies in BD)

- **Sell shares against Specific Funds Created**
- Uses the money to **purchase a portfolio of securities that matches the standards** of the Fund
- Designs funds to meet the investment needs and risk profile of different investors
  - Growth Funds, Fixed Income Funds, Value Funds etc.

Securities firms (BD Perspective)

- **Brokerage Firms:** As a broker **execute trades on behalf of clients**, and as a dealer **invests their own funds**
- **Investment/Merchant Banking:**
  - Provides advisory services
  - Issue management services
  - Fund arrangement services
  - portfolio management services
  - M&As, Private Placement, Venture Capital etc.
  - Underwrites new issues,
  - Also acts as dealers

Financial Institutions: Non-Depository Institutions

Insurance Companies

Provide individuals and firms with insurance **policies that reduce the financial burden associated with death, illness, and damage to property**

- Charges fees called **premiums**, which they **invest until the funds are needed to cover insurance claims**
- Insurance companies commonly invest these funds in corporate stocks or bonds or govt. bonds

Pension Funds

Many corporations and government agencies offer pension plans, whereby the employees and sometimes their employers periodically contribute funds to the plan

- Pension funds **manage the money until the individuals withdraw the funds for their retirement**
- Pension funds commonly invest in corporate stocks and bonds or government bonds

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